

inclusion here. Like several of our references it is based on our own investment operations. We were members of a "select group," mainly of investment funds, who participated in a private offering of convertible 4½% debentures of Eversharp Co. at par, convertible into common stock at \$40 per share. The stock advanced rapidly to 65½, and then (after a three-for-two split) to the equivalent of 88. The latter price made the convertible debentures worth no less than 220. During this period the two issues were called at a small premium; hence they were practically all converted into common stock, which was retained by a number of the original investment-fund buyers of the debentures. The price promptly began a severe decline, and in March 1948 the stock sold as low as 7 3/8. This represented a value of only 27 for the debenture issues, or a loss of 75% of the original price instead of a profit of over 100%.

The real point of this story is that some of the original purchasers converted their bonds into the stock and held the stock through its great decline. In so doing they ran counter to an old maxim of Wall Street, which runs: "Never convert a convertible bond." Why this advice? Because once you convert you have lost your strategic combination of prior claimant to interest plus a chance for an attractive profit. You have probably turned from investor into speculator, and quite often at an unpropitious time (because the stock has already had a large advance). If "Never convert a convertible" is a good rule, how came it that these experienced fund managers exchanged their Eversharp bonds for stock, to their subsequent embarrassing loss? The answer, no doubt, is that they let themselves be carried away by enthusiasm for the company's prospects as well as by the "favorable market action" of the shares. Wall Street has a few prudent principles; the trouble is that they are always forgotten when they are most needed.* Hence that other famous dictum of the old-timers: "Do as I say, not as I do."

Our general attitude toward new convertible issues is thus a mistrustful one. We mean here, as in other similar observations, that the investor should look more than twice before he buys them. After such hostile scrutiny he may find some exceptional offerings that are too good to refuse. The ideal combination, of course, is a strongly secured convertible, exchangeable for a common stock which itself is attractive, and at a price only slightly higher than the current market. Every now and then a new offering appears that meets these requirements. By the nature of the securities markets, however,